Table 55.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% up	100% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 39%*, M 45%, H 48%	L 22%*, M 45%, H 37%
Throwbacks occurrence	64%	67%
Average time to throwback peaks	6% in 6 days	8% in 6 days
Average time to throwback ends	12 days	12 days
Average rise for patterns with throwbacks	46%	34%
Average rise for patterns without throwbacks	51%	43%
Percentage price resumes trend	88%	74%
Performance with breakout day gap	44%	27%
Performance without breakout day gap	49%	40%
Average gap size	$0.81	$0.36

* Fewer than 30 samples.

Yearly position, performance. The sample counts are small in this one. Mapping performance onto the yearly price range, we find that the best performing rounding bottoms are those with breakouts near the yearly middle (bear markets) or high (bull markets). It suggests avoiding patterns within a third of the yearly low (but additional samples could change that assessment).

Throwbacks. Throwbacks occur slightly less often in bull market rounding bottoms (64%) than in many other chart patterns (66%). That may be due to the excellent performance shown by the pattern (but if that were true, you'd see bear market patterns also suffering, and we don't).

Price takes the usual amount of time to return to the breakout price (12 days). When throwbacks do occur, performance suffers. After a throwback